

FEDERAL MARITIME COMMISSION

BAKERLY, LLC,

Complainant,

v.

SEAFRIGO USA, INC.,

Respondent.

Docket No. 22-17

Served: January 22, 2026

BY THE COMMISSION: Rebecca F. DYE, Daniel B. MAFFEI,
Max M. VEKICH, Laura DIBELLA, *Commissioners.*

Order Granting in Part Petition for Attorney Fees

Respondent Seafrigo USA, Inc. (Seafrigo) petitions the Commission to award it attorney fees under 46 U.S.C. § 41305(e) as the prevailing party in this matter. Seafrigo is a registered non-vessel-operating common carrier (NVOCC) and successfully defended all Shipping Act claims asserted by Complainant Bakerly, LLC. Bakerly alleged that Seafrigo violated 46 U.S.C. §§ 41104(a) and 41102(c) by billing for and collecting pass-through charges for demurrage and detention not authorized by its negotiated rate arrangement (NRA). Seafrigo transported Bakerly's imported food shipments from the Port of New York and New Jersey to inland destinations. Over the years, Bakerly routinely paid demurrage and

detention charges Seafrigo passed through from the vessel-operating common carriers (VOCCs) until those costs escalated in 2021 when pandemic-related problems led to port congestion and labor shortages among Seafrigo's truckers and at Bakerly's warehouses.

Without any explanation, Bakerly reversed its long-standing acceptance of the NRA terms assigning it responsibility for non-freight charges unless caused by Seafrigo's negligence when it filed this action. Bakerly alleged that it had no contractual responsibility under the NRA for any non-freight (demurrage and detention) charges. It contended that Seafrigo's collection of these charges violated the filed rate doctrine embodied in section 41104(a). Bakerly also challenged as unreasonable and unlawful Seafrigo's cargo-handling and billing practices including its decision to pay and pass through charges imposed during a snowstorm-related port closure. Chief Judge Erin Wirth denied Bakerly's claims as legally and factually unsupported and dismissed the complaint. The Commission denied Bakerly's exceptions and affirmed Judge Wirth's decision in its entirety. *Bakerly, LLC v. Seafrigo USA, Inc.*, Docket No. 22-17, 2024 WL 4678461 (FMC Oct. 30, 2024).

As the prevailing party, Seafrigo now petitions the Commission to recover its attorney fees of \$268,728 and costs of \$1,135.76. Seafrigo asserts that Bakerly unreasonably pursued claims with no plausible factual or legal basis and for improper reasons, including most egregiously denying responsibility for charges it previously acknowledged it owed and paid under the NRA terms. Seafrigo also argues that Bakerly made the litigation unreasonably burdensome by rejecting its attempts to streamline discovery and settlement attempts. Bakerly asserts that it did not act in bad faith or vexatiously complicate litigation and was justified in refusing Seafrigo's discovery proposals.

Parties seeking attorneys' fees must prove that they are both eligible to recover fees and entitled to a fee award under section 41305(e). Seafrigo plainly qualifies as a prevailing party. Whether Seafrigo is entitled to fees is a discretionary decision with a primary

consideration being whether a fee award furthers the purposes of the Shipping Act. Other guiding factors include: frivolousness or lack of any objectively reasonable basis for the claims; improper motives (*e.g.*, harassment or coercion); litigation misconduct (*e.g.*, violating Commission orders or rules of practice); deterrent effect; and, in appropriate cases, an interest in fully compensating the prevailing party.

Bakerly alleged several Shipping Act claims grounded in different legal theories and facts, and it had a plausible basis for asserting some claims but not others. Bakerly had no colorable factual or legal basis for claiming that Seafrigo contractually agreed to pay all non-freight charges under the NRA or for asserting claims under the Ocean Shipping Reform Act of 2022 (OSRA 2022) which was not in effect when the charges were incurred and billed by Seafrigo. Bakerly's "NRA contract claim" was not only contradicted by the NRA documents but also by Bakerly's years-long history of accepting responsibility for and paying charges it disputed in this case as Seafrigo's sole responsibility. In the year before it filed this action, Bakerly paid Seafrigo over \$1.2 million in demurrage and detention on its shipments, but then inexplicably reversed its position and sued to recoup those payments on the grounds they were never owed. Bakerly did not provide a legal basis for its abrupt reversal or for disclaiming responsibility for all pass-through charges. Its pre-litigation course of conduct undermines its argument that it had a plausible basis for filing the section 41104(a) claim and also casts doubt on its motives for denying liability for *all* disputed demurrage and detention charges. Those actions suggest that Bakerly pursued those particular claims as a litigation strategy aimed at motivating Seafrigo to compromise or abandon its claim for over \$1.4 million in charges still outstanding.

The same does not hold true for Bakerly's claims that Seafrigo failed to establish and follow reasonable billing practices and should not have paid or passed through charges incurred during a snowstorm-related port closure. Bakerly had some legal and factual support for those claims. Circumstantial evidence does not

suggest that those claims were filed for improper reasons, and the other guiding factors do not weigh in favor of awarding attorney fees on those claims.

The relevant guiding factors weigh strongly in favor of awarding Seafrigo the attorney fees it incurred defending Bakerly's section 41104(a) "NRA contract" claim and OSRA 2022 claim. Bakerly's deliberate pursuit of those legally and factually unsupported claims justifies a partial fee award. We do not find that Bakerly engaged in litigation misconduct, and deterrence and fully compensating Seafrigo are not relevant factors here. Granting Seafrigo's petition for fees incurred in defending the section 41104(a) and OSRA 2022 claims furthers the Shipping Act's purpose of ensuring an efficient and economical transportation system for U.S. ocean-borne commerce. It is also consistent with the Commission's interest in enforcing its rules allowing NVOCCs to rely on NRA terms accepted by the shipper to keep cargo flowing efficiently.

Seafrigo's fee petition is granted in part and denied in part. Seafrigo is awarded the attorney fees it incurred in defending the section 41104(a) "NRA contractual" claim and the OSRA 2022 claim, but not the fees it incurred in defending against Bakerly's other claims challenging Seafrigo's billing practices or handling of cargo-related charges during a port closure. Seafrigo's attorney fees are well-documented and reasonable given their counsel's experience and the time required to engage in discovery and motions practice and defend the claims asserted in this case. To reflect the time devoted to the section 41104(a) and "NRA contractual claims" and exclude time spent on other claims, Seafrigo is awarded fifty percent of the total attorney fees requested (\$134,364) plus its total costs (\$1,135.76).

I. **BACKGROUND**¹

A. **Factual Background**

Bakerly, LLC is a U.S. company in the business of importing specialty foods from France. From 2015 to 2022, Seafrigo moved Bakerly's containers by motor carrier from the Port of New York/New Jersey to Bakerly's facilities in Linden, New Jersey and Allentown, Pennsylvania. Seafrigo transported Bakerly's containers under an NRA, the terms of which were defined in several documents, which included Seafrigo's tariff, bills of lading, and quarterly rate proposals.

Bakerly acknowledged and accepted Seafrigo's service terms when it received and shipped under quarterly rate proposals which also incorporated Seafrigo's rules tariff and bill of lading specifications. Shippers, like Bakerly, are "considered to have agreed" to the NRA terms if they: (1) return a signed agreement to the NVOCC; (2) send written communication (including an email) to the NVOCC accepting the terms; or (3) book a shipment after receiving the NVOCC's terms provided they include a warning that booking "constitutes acceptance of the rates and terms." 46 C.F.R. § 532.5; 2011 Final Rule, 76 Fed. Reg. 11351, 11358. Seafrigo's NRA documents specified that the quoted freight rates did not cover "other carrier-imposed charges" which were the shipper's sole responsibility unless caused by Seafrigo's failure to exercise due diligence in carrying out its NVOCC responsibilities.

From late 2020 through 2021, demurrage and detention charges escalated due to pandemic-related disruptions. Bakerly fell delinquent behind in its payments to Seafrigo as these pass-through charges increased beyond previous levels. Port congestion and labor shortages made it more difficult to pick up and return containers

¹The factual background is set forth in more detail in the Commission's opinion and order on the merits. *Bakerly, LLC v. Seafrigo USA, Inc.*, Docket No. 22-17, 2024 WL 4678461 (FMC Oct. 30, 2024).

within the allotted free time. Bakerly and Seafrigo communicated frequently about the charges, coordinating container pickups at the port, unloading shipments and returning the empty containers, and possible strategies for reducing escalating pass-through charges. Bakerly often sought Seafrigo's assistance in deciphering invoices to trace the pass-through charges or link them to particular shipments or determine if there were duplicate charges.

Problems with deliveries, delays, and billing were further complicated by a port closure during December 2020 and January 2021 due to a snowstorm. The ocean common carriers continued charging demurrage during the closure. Seafrigo tried unsuccessfully to negotiate a waiver of charges incurred when the port was not accessible. Seafrigo found that it had no leverage in a tight market and ultimately decided to pay the charges to stop further charges from accruing and secure the containers' release.

By the end of 2021, Bakerly's account was still overdue, with an outstanding balance that at times exceeded \$100,000. Seafrigo decided it was not fiscally sustainable to continue advancing payments to ocean common carriers on Bakerly's behalf for non-freight charges and waiting for reimbursement from Bakerly. To solve the problem, Seafrigo proposed that Bakerly begin paying the ocean common carriers directly for those charges and offered assistance in facilitating that arrangement. Bakerly resisted that proposal and persuaded Seafrigo to continue under their existing arrangement whereby Seafrigo advanced the charges on Bakerly's behalf.

Nearly all the charges Bakerly disputed in filing this action were straight pass-throughs of amounts that Seafrigo paid to VOCCs or other third parties related to the use of equipment. The only exception was finance charges that Seafrigo began billing in late 2021 when it decided it was no longer financially sustainable to continue carrying Bakerly's outstanding payments on its books.

B. Procedural History

Bakerly filed this action to recover pass-through charges previously paid and stop Seafrigo from trying to collect charges for demurrage and detention still outstanding and incurred on Bakerly's import shipments between December 2020 through March 2022. Bakerly sued to recoup as reparations \$973,227.05 for demurrage and \$278,172.37 for detention charges it had already paid to Seafrigo. It also sought a cease and desist order barring efforts to collect charges still outstanding for \$1,288,809.92 in demurrage and \$234,714.08 in detention.

Following motions practice and discovery, Judge Wirth issued an Initial Decision dismissing Bakerly's complaint and denying all its claims as legally and factually unsubstantiated. The Commission reviewed that decision de novo, denied Bakerly's exceptions, and affirmed Judge Wirth's decision in its entirety. The Commission found no support for Bakerly's assertion that Seafrigo had contractually agreed to bear responsibility for all demurrage and detention charges. The Commission also found that contemporaneous emails between Seafrigo and Bakerly and other evidence convincingly showed that Seafrigo's challenged actions were reasonable.

Seafrigo petitions to recover attorney fees totaling \$268,728 and filed a supporting declaration attesting to the reasonableness of the hourly rates and hours expended on the case. Bakerly opposes the fee petition and argues that it had a reasonable basis for its claims and did not litigate in bad faith.

II. DISCUSSION

A. Legal Standards

The Shipping Act states that the Commission "may" award "reasonable attorney fees" to the prevailing party in a private complaint action. 46 U.S.C. § 41305(e). Commission review of fee

petitions under section 41305(e) is guided by a rule issued in 2016 implementing the Coble Amendment, and a Policy Statement issued in 2021. Final Rule: Organization and Functions; Rules of Practice and Procedure; Attorney Fees (Final Rule), 81 Fed. Reg. 10508, 10512 (Mar. 1, 2016); Statement of the Commission on Attorney Fees (Policy Stmt.), Docket No. 21-14 (Dec. 28, 2021). There is no presumption in favor of or against awarding attorney fees. The Commission evaluates each petition on its own merits guided by the factors identified in the Final Rule and Policy Statement.

The petitioning party bears the burden of proving it is eligible for and entitled to recover legal fees. *Edaf Antillas, Inc. v. Crowley Caribbean Logistics*, Docket No. 15-04, 2016 WL 5110081, *4-5 (FMC Sept. 14, 2016). Demonstrating eligibility requires the petitioner to prove that it is the prevailing party. Policy Stmt., 2-3. Eligibility is left to the Commission's discretion and is decided by weighing relevant factors identified in the Commission's rules. Final Rule, 81 Fed. Reg. 10509, 10515; *see also Hensley v. Eckerhart*, 461 U.S. 424, 436-37 (1983) (fee awards are discretionary, not dictated by a precise rule or formula).

To decide entitlement, the Commission considers whether: (1) there was a colorable legal and factual basis for the claims (or defenses); (2) the filing was motivated by some improper purpose like harassment or coercion and not by a legitimate intention to obtain a ruling on the legal merits; (3) the non-prevailing party engaged in litigation misconduct (*e.g.*, by refusing to follow Commission procedure or orders); (4) fees are appropriate to deter future baseless filings; and (5) in appropriate cases, whether a fee award is necessary to make the petitioning party whole. *Edaf Antillas*, 2016 WL 5110081, *4-5. These factors are grounded in the Supreme Court's guidelines for federal fee-shifting statutes. *See Fogerty v. Fantasy, Inc.*, 510 U.S. 517, 534 (1994).

The Commission is mindful that fee awards are a double-edged sword that increase rewards for the prevailing party and simultaneously penalize the non-prevailing party. *Kirtsaeng v. John*

Wiley & Sons, Inc., 579 U.S. 197, 208 (2016). Parties should not be deterred from litigating valid claims and defenses or advancing arguments to clarify or build upon existing law out of concern that they will be compelled to pay their opponent's legal fees if unsuccessful. *See Edaf Antillas*, 2016 WL 5110081, at *10 (Com. Doyle, Chairman Cordero and Com. Maffei, concurring) (fees should only be awarded in "limited, fact-specific instances to avoid any chilling effect on parties filing meritorious claims in the future").

B. Seafrigo's Prevailing Party Status

A party qualifies as prevailing if the case outcome materially alters their legal relationship with the opposing party. Final Rule, 81 Fed. Reg. 10509, 10512. Respondents typically meet this requirement if they succeed in getting the claims dismissed or denied. Seafrigo successfully rebuffed all of Bakerly's claims in this action. Judge Wirth dismissed the complaint and denied Bakerly's request for reparations and a cease and desist order. The Commission affirmed Judge Wirth's decision in its entirety and dismissed the case. Bakerly did not appeal the Commission's decision, and the 60-day appeal period has now expired. *See* 28 U.S.C. § 2344. Accordingly, Seafrigo plainly qualifies as prevailing as to all the claims Bakerly alleged. *See* 81 Fed. Reg. at 10512.

C. Seafrigo's Entitlement to Attorney Fees

Bakerly's claims were grounded in different legal theories and facts, so we consider them separately to assess whether Bakerly had a plausible basis or a colorable supporting argument and proper motives for pursuing each claim. Seafrigo argues that it is entitled to recoup its attorney fees because Bakerly pursued baseless claims and unreasonably refused Seafrigo's proposals to streamline discovery and litigate only invoices over \$1,000 or \$2,500. Seafrigo Petition for Attorney Fees and Costs (Seafrigo Pet.), 8.

Bakerly counters by arguing that Seafrigo has not shown that

Bakerly acted in bad faith and defends its discovery and litigation tactics as appropriate due diligence necessary to verify disputed charges and amounts. Bakerly does not directly refute Seafrigo's arguments about its abrupt reversal of position on its obligation to pay Seafrigo non-freight charges under the NRA terms or other key points.

Bakerly premises its defense on the assumption that Seafrigo can recover only if it proves Bakerly acted in bad faith in filing and pursuing its claims. That is an inaccurate presumption. Bakerly's motives for filing and in particular whether it filed the claims to gain some improper objective, like coercing a settlement, is a factor in deciding whether to grant the fee petition, but it is not an absolute prerequisite that Seafrigo must prove to be awarded fees. Bakerly also rhetorically asks why Seafrigo did not counterclaim to recover its unpaid charges. Seafrigo's decision not to pursue a counterclaim before the Commission is not evidence that the charges were never owed. It is possible that Seafrigo may have considered its claim for unpaid charges as a straightforward contract claim and therefore outside the Commission's jurisdiction. Parties can only bring a counterclaim before the Commission for violations of the Shipping Act. *See* 46 C.F.R. § 502.64(b)(4).

Bakerly also asserts that the length and extensive analysis in Judge Wirth's and the Commission's opinions and time spent litigating its claims demonstrate that the claims were not frivolous. That is a false equivalency. Bakerly's litigation tactics, such as, alleging claims that were not well defined or supported only by a cursory legal reference with no explanatory analysis made this case more difficult and time-consuming for the parties to litigate and for the Commission to decide.

1. Bases for Bakerly's Claims and Motivation

Whether Bakerly had objectively reasonable bases for its claims is intertwined with its motivation for filing, so we consider those factors together. If a complainant's claims were frivolous, had

no plausible legal or factual basis, or were not supported colorable arguments, that weighs in favor of awarding legal fees to the respondent. *Logfret v. Kirsha, B.V.*, 2 F.M.C. 2d 110, 114 (FMC 2020); Policy Stmt., 4. Lack of success does not, by itself, indicate that the claims were frivolous. Otherwise this factor would always weigh in favor of awarding fees to the prevailing party, an approach the Commission rejected when it issued the Final Rule. 81 Fed. Reg. 10508, 10512; *Baltic Auto Shipping Inc. v. Hitrinov*, Docket No. 14-15, 2017 WL 4924883, at *10-11 (FMC Oct. 25, 2017).

Filing claims for improper reasons also weighs in favor of granting the fee petition. Claims asserted for reasons other than seeking a ruling on the legal merits are likely improper. For example, filing to harass a competitor or coerce settlement of legitimate debts would be an improper motive. “Knowingly gambling” on implausible claims to gain some advantage over the opposing party is another example. *See Logfret*, 2 F.M.C.2d at 116. Direct evidence of the motives for filing is rare so the Commission may consider circumstantial evidence of a party’s motives for filing and pursuing a claim or defense. Policy Stmt., 4.

a. Section 41104 “NRA Contract” Claim

Bakerly argued that Seafrigo’s billing and collection attempts violated the filed rate doctrine codified in 46 U.S.C. § 41104(a)(A)(2) because Seafrigo was solely responsible for all non-freight charges (demurrage and detention) under the NRA terms. Bakerly Exceptions to Initial Decision and Brief in Support (Bakerly Exceptions), 24 (filed Jan. 25, 2024). That claim hinged on Bakerly’s argument that a general provision in the NRA documents describing the terms for port-to-door transportation cancelled out and superseded other NRA terms expressly declaring the shipper (Bakerly) responsible for those charges unless the charges resulted from Seafrigo’s negligence and were not caused by events outside its control.

Commission regulations authorize NVOCCs like Seafrigo to

provide ocean transportation services in accordance with terms spelled out in an NRA. 46 C.F.R. §§ 532.2 and 532.4. Seafrigo spelled out its NRA terms in quarterly rate proposals sent to Bakerly, its rules tariff, and in bills of lading. That complied with Commission rules which require NRAs to be in writing and in existence before the NVOCC accepts the cargo for handling or shipment. *Id.* § 532.2. Shippers accept the NRA terms if they return a signed agreement to the NVOCC, accept the terms via email or some other written communication, or book transportation with the NVOCC after receiving documents containing the NVOCC's terms. *Id.* § 532.5. An NVOCC's terms defining responsibility for non-freight charges can be stated in its rules tariff. *Id.* § 532.4(d)(2)(ii)-(iv).

Seafrigo complied with the rules for documenting and relaying NRA terms to the shipper, and Bakerly did not argue otherwise. Instead, Bakerly contested Seafrigo's interpretation of terms spelling out which party was responsible for demurrage and detention charges. Those terms were explained in Seafrigo's rules tariff and referenced in the quarterly rate proposals sent to Bakerly. Bakerly accepted those terms by continuing to use Seafrigo's NVOCC services after it received the rate proposals.

Seafrigo's tariff explained that it does not own the containers or chassis used to transport shippers' cargo, that the equipment was owned by VOCCs and chassis providers who impose per diem charges if containers or chassis are not returned within the allotted free time. *See* Seafrigo's Tariff Rule 17 ("Use of Equipment"). Complainant's Appendix, Exhibits (CX), CX 113. It further explains that shippers bear the financial responsibility if the containers or chassis are not picked up on time (demurrage) or not returned on time (detention). *See* Seafrigo's Tariff Rule 15 ("Free Time, Detention and Demurrage"). This information was repeated in Seafrigo's quarterly rate proposals which reminded shippers that the quoted rates did not include "other carrier-imposed charges" (*i.e.*, non-freight charges like demurrage and detention) which were the shipper's or consignee's responsibility.

Bakerly argued that Seafrigo's specific provisions assigning responsibility for demurrage and detention to the shipper were superseded by general terms for port-to-door transportation stated elsewhere in the NRA documents and asserted that its interpretation must prevail because contracts are construed against the drafter. Bakerly Exceptions, 26-28. This meant, Bakerly argued, that the general port-to-door description superseded terms expressly stating the shipper was responsible for all non-freight charges unless these charges were attributable to Seafrigo's negligence. *Id.* As support for that argument, Bakerly relied on a general doctrine of contract construction that applies when choosing between two plausible interpretations of a contract. *Id.* That doctrine only applies if the courts or reviewing agency must choose between two equally plausible interpretations and other extrinsic evidence does not resolve the impasse. *Restatement (Second) of Contracts* § 206 (1981), cmt. A. In such cases, it is preferable to choose the interpretation that operates against the party who drafted the contract. *Id.*

That legal doctrine plainly does not apply here because there was no ambiguity in the NRA documents that required or justified looking to extrinsic evidence to discern the intent. *See Royal Insur. Co. of America v. Orient Overseas Container Line Ltd.*, 525 F.3d 408, 421 (6th Cir. 2015). Seafrigo's tariff rules spelling out responsibility for demurrage and detention were clear and unambiguous and only susceptible to one interpretation. So there was no justification to look to extrinsic evidence or general principles of interpretation to discern which party the NRA contract identifies as responsible for demurrage and detention. Further, courts apply this doctrine for construing ambiguities against the drafter only if other extrinsic evidence does not resolve the ambiguity. *See B.F. Goodrich Co. v. U.S. Filter Corp.*, 245 F.3d 587, 597 (6th Cir. 2001).

Even if Seafrigo's terms were ambiguous, Bakerly's contract construction argument was contradicted by other legal principles of

contract construction. Contracts are read as a cohesive whole, not interpreted piecemeal, and language is interpreted according to its “ordinary and natural meaning.” *Royal Insur.*, 525 F.3d at 421. And, “specific” or exact terms and are “given greater weight than general language.” *Id.* (quoting *Restatement (Second) of Contracts* § 203 (1981)). Bakerly argued for the opposite approach in claiming that a general description of port-to-door arrangements took precedence over express terms assigning responsibility for demurrage and detention charges.

The lack of legal support for Bakerly’s legal arguments is not its only flaw. Compounding the lack of legal support is Bakerly’s history of dealings with Seafrigo and its prior acceptance of responsibility for the disputed charges. Before it filed this action alleging that Seafrigo’s collection of any demurrage and detention violates section 41104(a), Bakerly paid those charges and did not protest that they were solely Seafrigo’s responsibility. Bakerly relied on Seafrigo’s NVOCC services for the previous four to five years and imported on average 1,000 FEUs annually. Seafrigo billed Bakerly for demurrage and detention on its shipments, and Bakerly did not argue that contractually they were Seafrigo’s responsibility. In the year prior to filing this action, Bakerly paid Seafrigo over \$1.2 million for demurrage and detention pass-through charges.

Bakerly’s payment of the charges shows that it understood the NRA terms as holding it responsible for demurrage and detention charges not caused by Seafrigo’s negligence and that it acted accordingly throughout its dealings with Seafrigo. That abruptly changed when Bakerly could no longer keep pace with overdue balances and Seafrigo proposed that Bakerly pay the VOCCs directly which was also the prelude to Bakerly filing this action. Seafrigo signaled at the end of 2021 that it was not able to continue carrying the overdue charges on its books and proposed that Bakerly take over paying VOCCs directly for non-freight charges and offered instructions on making those arrangements. Bakerly resisted and persuaded Seafrigo to relent and continue their existing arrangement.

Bakerly is an experienced commercial shipper that relied on Seafrigo's NVOCC services for years. It communicated with Seafrigo weekly and sometimes daily about the invoiced charges and strategies for reducing those charges and sorting out the shipments to which they corresponded. Bakerly quizzed Seafrigo staff about invoice details and requested information linking charges to specific shipments for its internal accounting purposes and strategies for more efficient container pick-ups, unloading, and returns to help it stay within the allotted free time and limit carrier charges. Bakerly repeatedly sought Seafrigo's help in sorting out or curtailing additional VOCC charges and asked for its forbearance when its payments were overdue and promised to bring the account current. It exchanged ideas with Seafrigo about possible strategies for improving pick up and return times to defray those costs and lobbied Seafrigo to continue advancing the charges when Seafrigo proposed changing their existing arrangement. None of these discussions or actions would have been necessary if Bakerly considered the charges solely Seafrigo's responsibility under the terms of the NRA.

The absence of legal support for the claim, Bakerly's prior acknowledgement of responsibility for and payment of the charges, and its failure to explain the reasons for its abrupt reversal are compelling circumstantial evidence that Bakerly did not bring the section 41104(a) "NRA contract claim" because it sincerely believed the claim had legal merit and sought a ruling from the Commission to that effect. Bakerly's decision to add this unsupported claim to its complaint suggests that these allegations, which might have compelled Seafrigo to return \$1.2 million in charges already collected, was a calculated litigation strategy. By adding this claim, Bakerly substantially increased Seafrigo's litigation risk and created a scenario whereby Seafrigo could have been barred from collecting over \$1.4 million in charges still outstanding and been ordered to refund over \$1.2 million collected in 2021. The charges represented money that Seafrigo had already paid to VOCCs on Bakerly's behalf for its shipments--so the risk of

loss for Seafrigo was substantial.

Bakerly's pursuit of a claim that was unsupported and contrary to its own prior long-standing acknowledgement of responsibility for the demurrage and detention charges on its shipments weighs strongly in favor of awarding Seafrigo the fees incurred in defending this claim. Circumstances suggest that Bakerly used the claim as a strategy to increase pressure on Seafrigo and to increase the risks Seafrigo faced in deciding to litigate Bakerly's claims rather than compromise or settle on Bakerly's outstanding charges.

b. OSRA 2022 Claims

Bakerly did not have a colorable basis for asserting that Seafrigo's billing practices violated provisions in section 41104(a)(14) and (15) that were not yet in effect when the charges were incurred and billed. Bakerly initially claimed that Seafrigo also violated requirements in OSRA 2022 which did not become effective until June 2022, after the charges were incurred and billed. Judge Wirth dismissed those claims and Bakerly did not argue that dismissal was in error in its exceptions to the Commission. The exceptions cited Judge Wirth's ruling on those claims but did not advance any arguments. *See Bakerly Exceptions*, 48. The Commission affirmed Judge Wirth's dismissal. *Bakerly*, 2024 WL 4678461 at *7.

Bakerly's lack of support for this argument weighs slightly in favor of granting the fee petition. While Bakerly should not have filed the claim initially, it deserves some credit for not pressing the dismissal on appeal to the Commission. Further, unlike the section 41104(a) NRA contract claim, circumstances do not suggest that filing this claim was a calculated move on Bakerly's part to pressure Seafrigo to compromise, settle or possibly abandon its collection efforts on outstanding charges.

c. Section 41102 and 41104 Claims

Bakerly can point to some legal support for challenging the reasonableness of cargo handling practices under sections 41102(c) and 41104(a). The NRA was clear in stating that responsibility shifts from the shipper to Seafrigo for non-freight charges caused by Seafrigo's negligence and not attributable to factors outside its control. Bakerly invoked that exception as a basis for arguing that it was not liable for all the charges billed. It did not clearly articulate the parameters of its claim, but challenged Seafrigo's cargo handling generally in terms of how it responded to pandemic-related challenges that disrupted the supply chain and caused labor shortages. Bakerly challenged as negligent Seafrigo's practices for hiring and retaining drivers, arranging and organizing container pickups and retrievals, and its handling of containers generally. Bakerly faulted those actions as responsible for late container pick-ups and delayed returns--the costs of which were then passed through to Bakerly. Bakerly also challenged Seafrigo's handling of a particular incident when it paid and passed through to Bakerly VOCC charges imposed when the port was closed due to a snowstorm. Because that port closure claim raised more specific questions related to the incentive principle, we consider it separately in the next section.

The factual basis for Bakerly's claim is questionable because it focused on only one part of the NRA's two-prong requirement for liability to shift to Seafrigo. Bakerly had to show not only that Seafrigo's failure to exercise due diligence caused the charges but also prove that the charges were the result of circumstances outside its control. Factors that caused and contributed to the schedule disruptions, unpredictable surges in consumer demand, port congestion and delays, shortages of truck drivers and warehouse workers were outside Seafrigo's control and Bakerly's as well. They were driven by global supply chain disruptions and unpredictable surges in demand for goods, port congestion, and other factors related to the pandemic. Problems with hiring and retaining truck drivers interfered with container pick-ups, deliveries, and returns.

Those problems were compounded by labor shortages at Bakerly's warehouses which delayed unloading and vexed truck drivers by extending turn-around times sometimes to the point that drivers had to leave the warehouse with still-loaded containers and return the following day. Bakerly also had difficulty maintaining sufficient space at its warehouses for newly-arriving shipments and staffing levels commensurate with needs so that containers could be unloaded on schedule. The parties frequently conferred about ways to work around or blunt the impact of these outside disruptive conditions, but were not successful in finding and following a strategy to cancel out their impact on scheduling and VOCC charges. It is clear from Seafrigo's and Bakerly's communications and actions that demurrage and detention charges incurred when containers or chassis could not be picked up or returned on time were the result of factors outside Seafrigo's control, so responsibility for the charges did not shift to Seafrigo under the NRA terms.

Bakerly also lacked the evidence to prove the second element required to shift liability to Seafrigo under the NRA clause. Bakerly did not clearly define the parameters of its general claim for negligently handling cargo, but to the extent it was claiming that Seafrigo was consistently or routinely negligent, entitling it to recoup all \$1.2 million previously paid and stop Seafrigo from collecting charges still outstanding, it lacked the necessary proof--a circumstance made clear in the parties' email communications. Seafrigo engaged frequently with Bakerly's staff and tried to strategize on measures to blunt the impact of labor shortages, scheduling disruptions, and other issues that made it difficult or impossible to arrange all container pick-ups and deliveries within the VOCCs' allotted free time. It is clear from the parties' communications that Seafrigo acted diligently and reasonably in responding to conditions outside both parties' control and made reasonable attempts to minimize the impact of global events on container pick-ups, drop-offs, and returns. Its lack of success in that regard does not prove lack of diligence or negligence in carrying out

its NVOCC duties.

Bakerly was clearly aware of the factors driving the escalating demurrage and detention factors when it filed this action and equally aware of the root causes and the extent to which they defied both parties' attempts to minimize their impact on scheduling and VOCC fees. It was evident from the parties' email communications that Seafrigo took reasonable measures to try to ameliorate the impact of global supply chain disruptions on the scheduled pick-up and delivery of Bakerly's shipments and container returns. It regularly updated Bakerly on scheduling, made suggestions and responded to Bakerly's suggestions for strategies to better coordinate container pick-ups and drop-offs at Bakerly's locations. The parties communicated regularly about scheduling pickups and deliveries, labor shortages at Bakerly warehouses which delayed unloading and impacted truck drivers waiting to return the empty containers, difficulties in hiring and retaining truck drivers, and related problems that contributed to containers being picked up or returned outside the ocean common carrier's allotted free time.

Bakerly obviously had first-hand knowledge of how Seafrigo responded to the pandemic-imposed challenges and how it tried to ameliorate their impact on pick-ups and deliveries. That knowledge undermines its assertion that it had a factual basis for alleging that Seafrigo was derelict in its NVOCC duties. It is also evident from the parties' communications that most of the intractable problems that led to higher-than-normal demurrage costs were the result of the pandemic and its impact on the global supply chain--conditions which were outside Seafrigo's control.

Circumstantial evidence of Bakerly's conduct prior to alleging this claim also suggests that it was motivated by something other than the desire to get a ruling on the legal merits. To the extent that Bakerly alleged that it had no responsibility for any disputed charges because they were caused by Seafrigo's negligent handling of the cargo, its conduct undermines the factual basis for that claim.

Its voluminous email communications with Seafrigo show that the escalating charges were the result of conditions beyond Seafrigo's, and for that matter Bakerly's, control and defied attempts to resolve the underlying problems with port congestion and unpredictable schedules.

d. Seafrigo's Handling of Snowstorm-Related Charges

Bakerly's legal and factual basis for alleging a section 41102(c) claim narrowly focused on Seafrigo's handling of demurrage and detention charges imposed during a snowstorm-related port closure is on a different footing from its broader-based allegations disclaiming responsibility for *any* of the disputed charges. Bakerly argued that Seafrigo should have refused to pay demurrage and detention charges inconsistent with the incentive principle embodied in the Commission's regulations. 46 C.F.R. § 545.5. Bakerly argued that Seafrigo acted unreasonably in paying the charges, should not have passed those charges through to Bakerly, and should have done more to obtain a waiver or refund from the VOCC.

Section 41102(c) states that common carriers "may not fail to establish, observe, and enforce just and reasonable regulations and practices" related to "receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c). Proving a violation requires the Complainant to show: (1) Respondent is a common carrier; (2) "claimed acts or omissions" that were "normal, customary, and continuous;" (3) which relate to "receiving, handling, storing or delivering property;" (4) are unjust or unreasonable; and (5) proximately caused Complainant's alleged loss. 46 C.F.R. § 545.4. The first three elements of Bakerly's section 41102(c) claim were not in dispute. Seafrigo is a common carrier and the claimed acts and omissions occurred while it was handling and delivering Bakerly's imported cargo. So, whether Bakerly had a reasonable basis for bringing this claim hinges on whether it had grounds for claiming that Seafrigo acted unreasonably in paying and passing through to Bakerly the snowstorm-related charges and failing to

obtain a refund or waiver from the VOCC.

Bakerly invoked the Commission guidelines under Rule 545.5(c) for determining whether common carriers' demurrage and detention policies for handling containerized cargo are reasonable. 46 C.F.R. § 545.5(c). Under those guidelines, the Commission "consider[s] the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity." *Id.* Factors considered in making that assessment include: (1) whether "demurrage or free time" is related "to cargo availability for retrieval;" (2) whether detention fees apply to periods when empty containers cannot be returned; (3) when and how notice that cargo is available for retrieval is provided; and (4) whether the policies serve the intended purposes if cargo is held or detained for government inspection. *Id.* The Commission also considers the reasonableness of common carriers' demurrage and detention policies in a broader context by evaluating the policies' accessibility and clarity, available dispute resolution procedures, information about points of contact, timeframes, and "corroboration requirements." *Id.* It may also factor into its reasonableness analysis whether policy terms are clearly defined and whether the definitions differ from standard usage in other contexts. *Id.*

Examples cited in Rule 545.5 relate specifically to what may be considered reasonable when cargo is not available for pickup or container returns are physically impossible. The rule provides that: "The Commission may consider in the reasonableness analysis the extent to which demurrage practices and regulations relate demurrage or free time to cargo availability for retrieval." *Id.* It also explains that: "Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable." *Id.* § 545.5(c)(2)(ii).

Bakerly's assertion that Seafrigo had a duty to do more to obtain a waiver or refund from the VOCC was grounded in a

reasonable argument for clarifying existing law. Commission rules and case law outline essential NVOCC duties and responsibilities but do not define boundaries for determining whether the NVOCC established and followed reasonable practices or otherwise complied with regulations when confronted with legally questionable charges. *See* 46 C.F.R. § 532.5. Pressing for clarification or expansion of existing law does not show that a party's claims were baseless or objectively unreasonable. *See* Policy Stmt., 3-4.

Collectively these circumstances indicate that Bakerly had a reasonable basis for challenging Seafrigo's handling of the snowstorm-related charges as an unreasonable practice and did not allege this claim for improper reasons.

e. Seafrigo's Billing Practices

Seafrigo billed Bakerly for non-freight charges that VOCCs assessed against its shipments under Commission regulations which allow NVOCCs to handle and transport cargo in accordance with terms established under an NRA. *See* 46 C.F.R. § 532.5. Bakerly argued that Seafrigo failed to establish and follow reasonable billing practices as required in section 41102(c). Bakerly Exceptions, 37-41. Bakerly argued that Seafrigo's billing practices were confusing and led to inaccuracies because the same charges sometimes appeared on multiple invoices and charges could not easily be traced to a particular shipment or container.

Rule 532.5(d) authorizes NVOCCs to collect pass-through charges under an NRA but does not dictate what supporting or backup documents they must provide to the shipper. 46 C.F.R. § 532.5(d)(2)(iv) (allowing charges with no markup that are "not included in the NRA or the rules tariff"). Bakerly argued that Seafrigo's billing practices must be judged against a heightened standard but did not identify that standard or specify how Seafrigo's invoices fell short of meeting it. Bakerly Exceptions, 37-41. Although Bakerly cited the 2018 Final Rule amending 46 C.F.R.

Part 532, it did not explain how the discussion or the rule text supported its claim. *See* “Amendments to Regulations Governing NVOCC Negotiated Rate Arrangements and NVOCC Service Arrangements, (2019 NRA Rule), 83 Fed. Reg. 34780 (July 23, 2019). Bakerly did not cite any clearly applicable legal support for its theory that Seafrigo had to meet a heightened standard to collect the pass-through charges.

Because Bakerly failed to articulate the applicable standards or clarify the legal basis for its argument, the Commission independently reviewed the Final Rule and the case law underpinning it to determine whether Seafrigo violated applicable standards. Rule 532.5(d) does not dictate requirements for verifying the charges billed. To assess Bakerly’s claim, the Commission examined the history of the Final Rule and case law underpinning it. That case law established that: (1) NVOCCs can bill pass-through charges to shippers; (2) VOCC invoices showing no markup are sufficient to substantiate pass-through charges but are not required evidence; and (3) circumstantial evidence demonstrating the charges were legitimately incurred in handling the shipper’s cargo and that amounts are reasonable may be sufficient. *See Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, Docket No. 1947(I), 2016 WL 11942284, at *7 (FMC. Oct. 7, 2016); *CM. Leavell & Co. v. Hellenic Lines, Ltd.* (Leavell) 13 F.M.C. 76, 89-90 (FMC 1969) (acknowledging that circumstantial evidence may be sufficient to verify pass-through charges).

The Commission found that a careful reading of the Final Rule and case law it relied upon allows NVOCCs to support pass through charges with either direct or circumstantial evidence to show that the charges are legitimately owed and verify the amounts. On that basis, the Commission rejected Bakerly’s theory that a heightened standard applies. While Bakerly’s argument was not supported by a careful reading of relevant authority, it had a colorable legal basis for making that argument.

Bakerly had some factual support for challenging Seafrigo’s

billing practices. As Seafrigo acknowledged, there were some duplicate charges and billing errors which Seafrigo corrected by cancelling or withdrawing the associated charges. The Commission found this evidence insufficient to prove Seafrigo's practices were unreasonable, because the errors were isolated, not constant or systemic. Seafrigo billed hundreds of charges and was dependent on VOCCs for invoices and specifics so sporadic errors did not prove it failed to establish and follow reasonable billing practices.

Seafrigo's unstinting willingness to assist Bakerly in sorting out invoices and responding to its questions also weighed in its favor in finding that it used reasonable billing practices. It was evident from the parties' emails that Seafrigo staff regularly and routinely assisted Bakerly with interpreting the invoices sent, answered Bakerly's questions about charges, and provided details and tracking information to the extent that information was available. Throughout 2021, Bakerly sought and Seafrigo provided back-up information for the invoices, explanations, or summaries. These email communications demonstrate the lengths to which Seafrigo went to assist Bakerly even when the information it asked for was not readily available or could not be provided in the precise format or manner Bakerly requested.

Seafrigo supplied additional documents or tracking information and typically explained why if it could not supply precisely what Bakerly requested. And on those occasions, Seafrigo would generally suggest an alternative or offer what it could to address Bakerly's concerns. In some instances, Seafrigo created and supplied additional documents, summaries, or spreadsheets to assist Bakerly in understanding and processing the charges. It was evident from these communications that Seafrigo steadily provided customer support services to help Bakerly thread together invoices and link charges to shipments and answer its questions about possible duplicate charges and outstanding balances.

Further, Bakerly explains in some exchanges that its accounting department needed certain information to justify

payment and link the charges to particular containers or shipments. During the period covered by its claims, Bakerly paid pass-through charges totaling over \$1.2 million involving over 1,000 VOCC invoices. Bakerly's payments are further evidence that it ultimately had the information it required to process and track the charges. Bakerly is an experienced commercial shipper with years of experience dealing with Seafrigo and understood that Seafrigo depended on the VOCCs for documentation of the underlying charges. While Bakerly may have been subjectively dissatisfied with Seafrigo's invoicing, that did not prove Seafrigo acted unreasonably under section 41102(c).

Bakerly also cited spreadsheets that Seafrigo submitted in discovery in this case as evidence that its billing practices were sloppy and inaccurate. The basis for that argument was Seafrigo's classification or reclassification of charges into various buckets or categories from spreadsheets produced in successive rounds of discovery. Seafrigo explained the reasons for the changes. As it delved deeper into supporting documents and refined its system for sorting and classifying charges and organizing them into categories to respond to discovery, its ability to identify charges as belonging to certain categories improved. Seafrigo's refinements to its spreadsheets and improved ability to sort and classify charges did not prove that Seafrigo unlawfully marked up or misclassified VOCC charges. *See generally* 46 C.F.R. § 532.4.

In the final analysis, Bakerly had some factual and legal support for challenging Seafrigo's billing practices as unreasonable. Given its staff's ongoing difficulties with sorting and tracking the pass through charges, it had a basis for arguing that the process might have been more transparent and charges easier to trace and link to particular shipments. That argument did not carry the day because Seafrigo demonstrated that it was constrained by VOCC billing practices, was dealing with a tidal wave of charges, was hampered if Bakerly did not immediately pay charges and they carried over to the next billing cycle, and routinely provided Bakerly with customer assistance in sorting out the billed charges.

So this factor does not weigh in favor of awarding fees on the section 41102(c) claim. The same holds true in examining its motivation for filing this claim. Unlike Bakerly's other claims which were undermined by its own conduct and the lack of support, the circumstantial evidence here does not suggest that Bakerly pursued this claim as a means to an improper end.

2. Litigation Misconduct

Repeatedly failing or refusing to follow Commission orders or adhere to the Rules of Practice and Procedure are considered litigation misconduct and weigh in favor of granting a fee petition. Policy Stmt., 4; *Edaf Antillas*, 2016 WL 5110081, at *4. Attorney fees can also be awarded to discourage parties from overly aggressive litigation tactics, such as litigating the same claims “ad nauseum” in the face of rulings rejecting them as meritless. *Kirtsaeng*, 579 U.S. at 208.

Seafrigo argues that Bakerly engaged in litigation misconduct by making discovery unreasonably burdensome and refusing to stipulate to limit document production to invoices totaling more than \$1,000 or \$2,500 and forgo demanding supporting documents for amounts beyond that threshold. Seafrigo Pet., 8. Seafrigo states that Bakerly's refusal to compromise required it to expend considerable time and resources searching for, collating and producing more than 1,000 separate invoices. *Id.*; Collins Decl., ¶ 22. Bakerly denies abusing the discovery process and contends that it was only exercising prudent due diligence to verify the amounts charged were accurate, actually owed, and properly billed. Bakerly did not abuse the rules or the litigation process by insisting on seeing documentation for all the invoices in dispute. As Bakerly points out, Seafrigo's billing process was not error-free, as the latter tacitly acknowledged in withdrawing some charges and acknowledging some inaccuracies. Bakerly was not required to stipulate or agree to Seafrigo's proposals for streamlining document production.

Seafrigo also argues that Bakerly's litigation tactics were improper and unfairly increased its litigation expenses. It argues that Bakerly's refusal to agree to limit discovery to invoices over \$1,000 or \$2,500 was unreasonable and that Bakerly should not have insisted that Seafrigo produce supporting documentation for all invoices regardless of the amount. Bakerly's position was not unreasonable, and it did not commit misconduct by refusing to accede to Seafrigo's proposals for streamlining discovery. Bakerly exercised due diligence in insisting it needed to review relevant materials. Further, there were some errors and duplicate charges in the invoices so its vigilance was justified.

Seafrigo also argues that Bakerly unreasonably refused to engage in serious attempts to settle the claims in discussions facilitated by the Commission's Office of Consumer Affairs and Dispute Resolution Services (CADRS). Collins Decl., ¶ 25. A party's position on settlement or refusal to engage or continue settlement discussions is not relevant in deciding a fee petition. *See CMI Distribution, Inc. v. Service by Air, Inc.*, Docket No. 17-05, 2021 WL 5564522, at *6 (FMC Nov. 24, 2021). Settlement offers and statements made during compromise negotiations, are inadmissible. *See* 46 C.F.R. § 502.75(c); Fed. R. Evid. 408. Parties can have many and varied reasons for declining to settle and should not feel undue pressure to settle meritorious claims or defenses to avoid the risk of being ordered to pay their opponent's legal fees.

In sum, Bakerly did not violate Commission orders or procedural rules or commit litigation misconduct by refusing to limit discovery or settle the case, so this factor does not weigh in favor of granting Seafrigo's fee petition.

3. Deterrence and Compensation

In weighing deterrence as a factor, the Commission considers whether a fee award is appropriate to deter the non-prevailing party from future misconduct or baseless filings. There is no indication that Bakerly has filed baseless claims in the past or is

likely to do so in the future. So, deterrence is not a factor in whether Seafrigo is entitled to a fee award.

In select cases, compensating the petitioner to make them whole is also a factor weighed in deciding whether fees should be awarded. *CMI Distribution*, 2021 WL 5564522, at *3. Seafrigo argues that this factor should apply here because it incurred over \$250,000 in legal fees defending its legitimate charges. Seafrigo Pet., 8. The facts of this case do not align with Commission criteria for relying on the “compensation” factor. *See* Final Rule, 81 Fed. Reg. 10508, 10512. Cases in which there is a disparity in power between the parties are candidates for considering this factor. A typical example would be a case in which a one-time or inexperienced shipper of household goods litigates against a VOCC and is vastly outmatched in resources for litigating the case. Here, both parties are commercial enterprises with experience in the maritime industry, its customs, and practices. Seafrigo was not litigating against a party with more resources or industry expertise so the compensation factor does not apply.

4. Summary of Entitlement Factors

Balancing all of the relevant factors leads us to recommend the Commission award Seafrigo the legal fees incurred in defending Bakerly’s section 41104(a) “NRA contract claim,” its OSRA 2022 claim and the claim challenging Seafrigo’s cargo handling practices overall, but deny the petition as to fees incurred in defending the other claims. Two factors weigh most heavily in favor of granting Seafrigo’s fee petition in part. Bakerly had no legal or factual support for asserting that the NRA assigned responsibility to Seafrigo for *all* charges or asserting that liability shifted to Seafrigo or for claiming that OSRA 2022 applied to charges incurred and billed before its effective date.

Moreover with respect to the “NRA contract claim”, Bakerly’s conduct during the year before it filed this action, demonstrates that it understood that it was legally responsible for

the non-freight charges. It did not deny liability for the fees as contrary to the parties' contractual arrangement and extensively traded information with Seafrigo about ways to hold down those costs. When Seafrigo signaled that it could not continue carrying or advancing the charges on Bakerly's behalf and awaiting overdue payments, Bakerly resisted and ultimately persuaded Seafrigo to continue advancing the charges. Bakerly's lack of legal support for this claim was compounded by circumstantial evidence indicating that it was not motivated by a conviction that the claim had legal merit but rather as a means of increasing Seafrigo's litigation risk and motivating it to compromise on collecting outstanding charges still owed. While Bakerly did not have a consistently strong basis for pursuing its other claims, it raised colorable arguments and offered some supporting evidence.

Finally, granting the petition furthers the purposes of the Shipping Act which include promoting an efficient, competitive, and economical transportation system for U.S. ocean commerce. Final Rule, 81 Fed. Reg. 10508, 10509; Policy Stmt., 3-4; 46 U.S.C. § 40101. Granting Seafrigo's fee petition is consistent with the Commission's interest in upholding its rules governing NVOCC cargo-handling and their reliance on NRA terms accepted by the shippers to define their arrangement and responsibilities. It is also consistent with the Commission's role in providing a forum for resolving Shipping Act claims and disputes between shippers and NVOCCs. *See Edaf Antillas*, 2016 WL 5110081, at *13 (Com. Doyle, Chairman Cordero and Com. Maffei, concurring) ("An efficient an economic transportation system is one in which all parties adhere to agreed-upon responsibilities.")

For all these reasons, the Commission grants Seafrigo's fee petition in part and awards attorney fees incurred in defending the section 41104(a) "NRA contract" claim alleging that the NRA made Seafrigo solely responsible for all demurrage and detention charges, the OSRA 2022 claim, and the claim challenging Seafrigo's cargo-handling practices in general as negligent and as a basis for shifting all liability for those charges to Seafrigo. The petition is denied as

to Bakerly's section 41102(c) claims challenging Seafrigo's handling of the snowstorm-related charges and its billing practices in general.

D. Reasonableness of Rates and Hours Billed

Seafrigo seeks attorney fees totaling \$268,728.00 for all work performed on this case plus expenses of \$1,135.76. As the petitioner, it bears the burden of "documenting the appropriate hours, and justifying the reasonableness of the rates." *Edaf Antillas*, 2016 WL 5110081, at *8. Time records prepared when the work was performed supplemented by a declaration from counsel assigned to the case provide a reliable and reasonable basis for accepting the petitioning party's records as accurate. *Id.* Multiplying the hourly rates by time reasonably expended on the case arrives at the lodestar-the "most useful" starting point for calculating the appropriate amount for a fee award. *Hensley*, 461 U.S. at 433; *Wye Oak Technology, Inc. v. Republic of Iraq*, Docket No. 1:10-cv-1182 (RCL), 2020 WL 13568976, at *3 (May 12, 2020); *Hartman v. Pompeo*, Docket No. 77-cv-2019 (APM), 2020 WL 6445873 (D.D.C. Nov. 3, 2020).

The Commission uses what is popularly referred to as the Laffey Matrix to assess whether hourly rates charged are reasonable. *Edaf Antillas*, 2016 WL 5110081, at *8. The Laffey Matrix was created as a guide for assessing reasonable rates charged by attorneys practicing in the Washington, D.C. metropolitan region. *Laffey v. Northwest Airlines, Inc.*, 572 F. Supp. 354 (D.D.C. 1983), *aff'd in part, rev'd in part on other grounds*, 746 F.2d 4 (D.C. Cir. 1984). It is used in cases governed by federal fee-shifting statutes like 46 U.S.C. § 41305(e) which authorize awarding "reasonable" attorney fees to the prevailing party. *DL v. District of Columbia*, 924 F.3d 585, 595 (D.C. Cir. 2019); 46 U.S.C. § 41305(e). A "reasonable fee" is based on a rate sufficient to attract capable counsel for meritorious cases. *Perdue v. Kenny A. ex rel. Winn*, 559 U.S. 542, 552 (2010).

The Matrix correlates hourly rates with years of experience as a practicing attorney. *See Eley v. Dist. of Columbia*, 793 F.3d 97, 101–02 (D.C. Cir. 2015). The United States Attorney’s Office (USAO) for the District of Columbia maintains and updates the Matrix and relies on data from the Legal Services Index (LSI) of the U.S. Bureau of Labor Statistics to adjust for inflation. *See* <https://www.justice.gov/usao-dc/media/1184161/dl?inline>. Hourly rates listed are derived from data gathered from complex federal cases in the District of Columbia federal courts with cases being classified as “complex” if they require “specialized legal skills.” *See Segar v. Garland*, 2024 WL 4332615, at *7 (D.D.C. Sept. 27, 2024); *Reed v. District of Columbia*, 843 F.3d 517, 527-29 (D.C. Cir. 2016) (Tatel, J., concurring).

Seafrigo was represented by the Washington, D.C.-based law firm of GKG Law, P.C. and lead counsel Brendan Collins submitted a declaration and monthly billing statements as evidence of the hours expended on the case and the hourly rates charged. Collins Decl., ¶¶ 16-22, 28. Mr. Collins worked on the case personally and also supervised associates and a paralegal who worked on the case. He explains that the case required considerable work to draft discovery, briefs, motions, and other pleadings and respond to Bakerly’s document requests. *Id.*, ¶¶ 20, 22.

Seafrigo counsel’s hourly rates are consistent with or below the USAO Laffey Matrix rates. All attorneys who worked on the case belong to the firm’s Transportation, Logistics and Trade Group whose practice areas include maritime law. Mr. Collins has more than 30 years of experience as a practicing trial attorney and has been a litigator at GKG since 2005. Collins Decl., ¶¶ 9-11. His work on the case was billed at \$575 per hour, which is below the 2022 and 2023 Matrix rates of \$795/\$749 for attorneys with the same experience. John Kester, an associate who graduated from law school in 2013 with experience handling complex regulatory matters and maritime issues, billed his time between \$350 and \$400, which is below the 2022 and 2023 Matrix rates of \$440/\$467 for attorneys with the same experience. The same is true for Rachel Amster, an

associate with experience handling civil and administrative litigation who graduated from law school in 2018, and billed at hourly rates of \$425/\$450 for her work on the case. The paralegal assigned to the case, Cindy Engelbrecht, has over 22 years of experience and billed her time at \$200 per hour which is below the 2022 and 2023 hourly rates for paralegal services set at \$207/\$200.

The Matrix rates are a guide, not a rigid requirement, and hourly rates can be adjusted to reflect the complexity of the case and legal skills required to handle it. *See, e.g., Wood v. District of Columbia*, 72 F. Supp. 3d 13, 24 (D.D.C. 2014) (fee award relied on rates reduced by 25% to reflect case complexity). This case required skill and experience in handling Shipping Act claims to interpret and frame arguments addressing NRAs, NVOCC practices, and Commission rules that NVOCCs follow for cargo handling, billing in general, pass-through charges in particular and Commission regulations on the incentive principle. A limited number of law firms have experience litigating and defending Shipping Act claims—a subspecialty that is distinct from admiralty and maritime law. Given these considerations, counsel’s hourly rates are reasonable and consistent with the Matrix rates for attorneys and paralegals with the same level of experience.

Counsel’s contemporaneous billing statements document in detail the tasks performed, dates the work was performed, and the time devoted to each task. Collins Decl., Ex. A. Work on the case began in July 2022 and continued through the fall of 2024. Counsel’s statements adequately describe the task performed and the pleading, brief, motion, or discovery requests or responses involved. The tasks described were necessary and clearly related to Seafrigo’s defense of Bakerly’s claims, *e.g.*, drafting pleadings, motions and briefs, propounding and responding to discovery, communication with the client and opposing counsel. *Id.* The time devoted to these tasks is reasonable and consistent with the complexity of the claims alleged and legal arguments, as well as the number of invoices and charges in dispute. *See id.* The time devoted to the case are also reasonable given Seafrigo’s litigation

exposure—if Bakerly had prevailed on all its claims, Seafrigo risked losing approximately \$2.6 million--the total in payments it would be ordered to refund Bakerly and outstanding charges it would be barred from collecting.

In this case, the lodestar amount accurately reflects reasonable fees for defending all the claims Bakerly alleged. But that figure must be adjusted to reflect the fact that Seafrigo should only be awarded fees for approximately half of the claims that Bakerly alleged. Seafrigo's billing statements adequately describe the work performed on the case by identifying discrete tasks, *e.g.*, communications with the client or Bakerly, drafting pleadings, motions and discovery, preparing and responding to discovery, etc. Time expended is not further broken into smaller allotments that distinguish between work devoted to different claims, but that is not a deficiency. Seafrigo followed standard billing practices and was not required to break down the time billed further by allocating the number of minutes or hours spent on individual claims--if that were even feasible, practical or possible. Seafrigo is entitled to recover fees incurred in defending approximately half the claims alleged, so reducing the lodestar amount by fifty percent fairly represents and reasonably reflects counsel's time devoted to those claims and fees billed for that work. Seafrigo is also entitled to recover \$1,135.76 in expenses incurred in defending the claim which include Westlaw charges and costs paid to CaseDriven which provides e-discovery and litigation support services.

Seafrigo is awarded attorney fees in the amount of \$134,364.00, which represents fifty percent of the lodestar figure and corresponds to the time reasonably expended defending claims with no plausible basis and brought for improper reasons.

IV. SUMMARY OF FINDINGS

Based on all of the foregoing, the Commission finds as follows:

(1) *Whether Seafrigo is a prevailing party under section 41305(e).*

Seafrigo successfully defended its handling of Bakerly's shipments and billing practices against Bakerly's claims that its actions violated the Shipping Act. The Commission dismissed all of Bakerly's claims and did not award it any relief which qualifies Seafrigo as a prevailing party potentially entitled to recover its attorneys' fees.

(2) *Whether Bakerly had a colorable legal and factual basis for the claims asserted.*

Bakerly did not have a colorable legal or factual basis for asserting that OSRA 2022, which was not retroactive, applied to claims that arose before its June 2022 effective date.

Bakerly did not have a colorable legal or factual basis for alleging that it had no responsibility under the NRA terms to reimburse Seafrigo for any non-freight (demurrage and detention) charges which Seafrigo advanced on Bakerly's shipments and passed through to Bakerly ("NRA contractual claim"). That claim was not just legally unsupported, it was contradicted by Bakerly's own conduct throughout the year before it filed this complaint. Throughout its dealings with Seafrigo during 2020 and 2021, Bakerly did not assert that Seafrigo was solely responsible for all such over charges under the NRA terms it disputed in this action. To the contrary, Bakerly paid the pass-through charges, sought Seafrigo's forbearance when its payments were delayed or overdue, and conferred with Seafrigo staff about ways to schedule and manage pick-ups and returns more efficiently to reduce carriers' charges for equipment usage outside the allotted free time.

Bakerly had a colorable legal and factual basis for its claims challenging Seafrigo's billing and cargo handling practices including charges incurred during a snowstorm-related port closure.

- (3) *Whether Bakerly pursued claims for an improper purpose and not for the legitimate purpose of obtaining a ruling on the legal merits.*

Bakerly's prelitigation conduct shows that it pursued the NRA contractual claim and OSRA 2022 claim for an improper purpose, namely, to increase Seafrigo's litigation risk and incentivize it to settle or abandon the right to collect monies it advanced on Bakerly's behalf and was entitled to retain and recoup under the NRA terms.

Bakerly did not pursue claims challenging Seafrigo's billing and cargo handling practices including charges incurred during a snowstorm-related port closure for improper reasons.

- (4) *Whether Bakerly engaged in litigation misconduct, by, e.g. refusing to follow Commission orders or procedural rules.*

Bakerly did not engage in litigation misconduct. It did not act improperly in declining to settle or refusing to accept Seafrigo's proposals that it waive production of certain supporting documents to streamline discovery.

- (5) *Whether Bakerly should be ordered to pay attorneys' fees to discourage it from future baseless filings.*

Bakerly does not have a history of filing baseless claims with the Commission, so deterrence is not a factor that weighs in favor of a fee award.

(6) *Whether a fee award is necessary to make Seafrigo whole.*

This factor only applies in special circumstances, *e.g.*, when there is a marked disparity in the parties' relative positions or resources for litigating the claims. It does not apply here since both parties are commercial businesses experienced in maritime commerce.

(7) *Whether a fee award furthers Shipping Act purposes.*

Granting Seafrigo's fee petition furthers the Shipping Act's purpose of ensuring an ocean transportation system for U.S. foreign commerce that operates fairly and efficiently. Commission rules allowing NVOCCs to provide service under terms defined in an NRA, which the shipper has accepted, serve an important role in ensuring that cargo is transferred efficiently to and from the ports with NVOCCs representing shippers' interests, arranging for transportation service from VOCCs, and paying VOCC charges on the shippers' behalf, and passing those VOCC charges through to the shipper. Bakerly's unsupported claims denying responsibility for NRA-sanctioned charges threatened the integrity of that process, and Seafrigo should not have been compelled to defend its right to collect charges plainly due under the terms of its NRA.

(8) *Balancing the Relevant Factors.*

Bakerly's pursuit of patently baseless claims that were contradicted by its own long-standing course of dealing with Seafrigo for improper purposes weigh heavily in favor of awarding Seafrigo the fees it incurred in defending those claims. It is contrary to the purposes of the Shipping Act in promoting a system that works efficiently and fairly for NVOCCs, like Seafrigo, to be compelled to defend lengthy and costly litigation to retain or recoup pass-through charges which they were plainly due under the terms of their NRA with the shipper and for which the shipper previously and repeatedly acknowledged

responsibility.

The fact that Bakerly did not engage in litigation misconduct and does not have a history of filing baseless claims with the Commission does not overcome the factors that weigh in favor of awarding Seafrigo fees on the OSRA 2022 and NRA claims.

(9) *Award Calculation*

Seafrigo is entitled to recover its litigation costs of \$1,135.76.

Seafrigo has demonstrated that its attorneys' fees incurred in defending this action (totaling \$268,728.00) are reasonable based on counsel's hourly fees and time expended in defending the claims asserted. Seafrigo is entitled to recover fees for work related to two of the four claims Bakerly alleged. Fifty percent of the total fees it incurred (\$134,364.00) reasonably equates to the fees Seafrigo incurred in defending claims that Bakerly had no colorable legal or factual basis for pursuing and litigated for improper reasons.

V. **ORDER**

The Commission:

- (1) GRANTS Seafrigo's Petition for Attorney's Fees in part and DENIES the Petition in part;
- (2) AWARDS Seafrigo attorneys' fees in the amount of \$134,364.00 incurred in defending claims brought under 46 U.S.C. § 41104(a) denying any liability for demurrage and detention charges under the NRA governing Bakerly's shipments and claims asserted under OSRA 2022;
- (3) AWARDS Seafrigo litigation costs totaling \$1,135.76; and

(4) DENIES the Petition in all other respects.

By the Commission.

David Eng
Secretary